

INTELLIGENCE BRIEF / N° 215 · HOT

Modal Labs

AI Infrastructure · Serverless GPU Compute Platform · New York (founded 2021; offices in San Francisco and Stockholm) · Private (\$4.65B; \$355M Series C, May 2026)

Modal Labs, the New York serverless AI-compute platform, announced a \$355M Series C at a \$4.65B valuation on 21 May 2026, led by General Catalyst and Redpoint. Annualised revenue has passed \$300M, up fivefold since September, and the valuation has quadrupled from the \$1.1B Lux Capital set then.

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OPPORTUNITY / 100

TIMING WINDOW

HOT

SERIES

F1

RECOMMENDED TEAM

Atlassian
Williams Racing

ACTION HORIZON

6-10 WKS

THE CASE

On 21 May Modal announced \$355M at a \$4.65B post-money valuation, led by General Catalyst and Redpoint with Menlo, Bain Capital Ventures and Accel joining. Reuters reports the round closed in two tranches, the first at \$2.5B, as AI-coding demand surged. Annualised revenue has passed \$300M, fivefold the roughly \$60M of September 2025, when Lux Capital led an \$87M Series B at \$1.1B. Modal runs over a billion isolated sandboxes for DoorDash, Cognition, Decagon, Suno and Physical Intelligence, and scaled Lovable to a million sandboxes in a weekend. Founded 2021; New York, San Francisco and Stockholm. The grid has already priced this archetype: CoreWeave became Aston Martin Aramco's Official AI Cloud Computing Partner in May 2025, Core Scientific sits on Cadillac's first roster, and Modal's own customer Cognition joined Aston Martin this season. Modal is the developer-native version of the same story, with revenue to match, and it has not chosen a stage. Its buyers are the engineers and AI labs an F1 technology partnership reaches best.

WHY NOW

The round was announced on 21 May; brand budgets reset in the quarter after a raise. Canadian GP (24 May), Monaco (7 June) and the British GP (5 July) fall inside the window, and teams close 2027 partner rosters in the autumn.

PROOF POINTS — EVERY FIGURE VERIFIED TO A PRIMARY SOURCE (SEE P.2)

\$355M

\$355M Series C at a \$4.65B post-money valuation led by General Catalyst and Redpoint, with Menlo Ventures,...

\$87M

General Catalyst and Redpoint (co-leads); Menlo Ventures, Bain Capital Ventures, Accel (new); Lux Capital l...

\$300M

More than \$300M annualised revenue, up fivefold from about \$60M in September 2025 (company-stated; Reuters)

\$2.5B

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GRID FIT — CATEGORY-WHITESPACE CHECK ACROSS THE F1 GRID (SPONSOR TABLE; 49 OF 346 PARTNER ROWS CATEGORISED)

Atlassian Williams Racing	OPEN	no rival in this category lane
McLaren Mastercard F1 Team	TAKEN	Dell Technologies, Google Cloud
Aston Martin Aramco F1 Team	TAKEN	CoreWeave, NetApp
Oracle Red Bull Racing	TAKEN	Oracle

BOTTOM LINE

A \$355M round at \$4.65B, revenue past \$300M and growing fivefold, and a product the engineers write to directly give Modal the budget, the motive and a real workstream. The compute lane at Williams is open, and Monaco and the British GP sit inside the window.

WHY ATLASSIAN WILLIAMS RACING

Williams runs the most data-native roster on the grid: Atlassian as title partner, VAST Data for the data platform, Keeper for identity, and since this season Claude as Official Thinking Partner inside engineering and strategy. There is no cloud or GPU-compute partner. Modal's product is Python-native compute that scales from zero, the shape of a race team's bursty simulation load; its New York base gives Austin and Las Vegas a US story.

VALUE TO ATLASSIAN WILLIAMS RACING — MODE A (TECH IN THE CAR / CHAMPIONSHIP)

MODE A - operational. Race-team compute is bursty: machine-learning surrogates, driver-in-loop and strategy simulation, telemetry and video analytics between sessions. Modal turns any Python function into an autoscaling GPU job with cold starts in seconds, so Williams pays for seconds of compute rather than idle clusters, outside cost-cap capital. In return: Official AI Compute Partner designation, livery presence and Austin and Las Vegas hospitality for Modal's developer audience.

DEAL ARCHITECTURE

Entry as Official AI Compute Partner. **THREE YEARS**, 2027-2029, spanning the post-raise growth run and a probable listing window. Estimated \$3-5M a year, part-payable in compute credits. Scope: engine-cover or sidepod placement, naming of the team's simulation compute environment, US-race hospitality, engineering content.

PRIMARY DECISION-MAKER

Erik Bernhardsson

CO-FOUNDER & CEO, MODAL LABS · VERIFIED

Bernhardsson built Spotify's recommendation engine, was CTO of Better.com and founded Modal in 2021 with Akshat Bubna, now CTO; he fronts every raise. Path: David Dorman, VP Marketing and Growth (ex-Grafana Labs), and Justin Dignelli, VP Sales. No CMO or CFO is listed.

OPENING ANGLE

Lead with the CoreWeave precedent.

“Erik, CoreWeave took its seat at Aston Martin in the year of its listing, and your customer Cognition followed. The compute lane at Williams is open, and the team already runs Claude and VAST. 25 minutes before Monaco to see the numbers?”

SCORE COMPOSITION

TIMING 17 / 20 Round announced 21 May; Canada, Monaco and Silverstone inside the window.	CAPACITY 18 / 20 \$355M at \$4.65B; \$300M+ annualised revenue, fivefold in eight months.	BRAND FIT 14 / 20 Developer-first infrastructure brand; strong AI narrative, low consumer reach.	URGENCY 13 / 20 Hyper-growth and a quadrupled valuation; no listing signal yet.	OPS FIT 16 / 20 MODE A: Python-native GPU compute for simulation and analytics.
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RISKS & COUNTERS

CROWDED ARCHETYPE CoreWeave, Core Scientific and Crusoe are already holding or courting grid positions; a fourth AI-compute brand can look like a follower. **Counter:** Position Modal as the developer-native layer, the compute engineers write to directly, not a data centre.

SPEND DISCIPLINE Modal has grown on efficiency; a \$3-5M sports line is a new category of spend for a company that has run lean. **Counter:** Size year one in compute credits and a pilot inside the Williams simulation stack; step up cash with usage.

SOURCES — 18 OF 18 LOAD-BEARING CLAIMS VERIFIED

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- https://www.astonmartinfl.com/en-GB/news/announcement/aston-martin-aramco-announces-coreweave-as-official-ai-cloud-computing-partner
- https://www.builtinnyc.com/articles/modal-raises-87m-series-b-1b-valuation-20251001